Economics - Undergraduate Level Assessment 1 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. What could the government do to most effectively avoid a free rider problem?
   (a) Supply public goods using tax dollars
   (b) Initiate a lottery system for the usage of public goods
   (c) Enact stricter antitrust legislation
   (d) Increase the prices of public goods
   (e) Allow private companies to supply public goods

2. Scarcity is best defined as
   (a) the opportunity cost of not pursuing a given course of action.
   (b) the difference between unlimited wants and limited economic resources.
   (c) the difference between unlimited resources and unlimited economic wants.
   (d) the opportunity cost of pursuing a given course of action.
   (e) the difference between the total benefit of an action and the total cost of that action.

3. If there is a monopolistically competitive industry with firms enjoying above-normal profits, what will probably happen to costs as other firms enter the industry?
   (a) costs will tend to rise
   (b) costs will decrease
   (c) costs are not affected by entry of new firms
   (d) costs will remain the same

4. Which one of the following would be a plausible response to a finding of residual non-normality?
   (a) Use a logarithmic functional form instead of a linear one
   (b) Add lags of the variables on the right hand side of the regression model
   (c) Estimate the model in first differenced form
   (d) Remove any large outliers from the data.

5. What gives rise to the so-called pecuniary economies or diseconomies of scale
   (a) Changes in the market demand and supply
   (b) Changes in the short-term operational efficiency of the company
   (c) Fluctuations in the stock market affecting the company's capital valuation

(d) Changes in the overall economic condition

(e) Changes in the long-run cost per unit of output due to variations in the prices of inputs

True / False (10 marks)

Answer True or False

6. True or False: If interest rates rise relatively more in country A than in country B, the value of country A's currency will appreciate.
7. True or False: Marx argued that capitalists accumulate wealth primarily to fund social welfare programs for the community.
8. True or False: Incorporating lagged dependent variables in a regression always results in unbiased and consistent coefficient estimates.
9. True or False: Gresham's Law suggests that good money drives out bad money in the economy.
10. True or False: Travelers' checks are considered part of the M_1 money supply.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of a 99% confidence interval in statistical analysis. Explain its significance in economics and how it relates to the estimation of the null hypothesis in repeated samples.
12. Discuss the impact on the equilibrium price and quantity of good Z when the price of its close substitute, good X, increases. Provide a detailed analysis of the underlying economic principles.

End of Paper